

Business Book — Sharma Textile

Entity type: **Commercial business** (proprietor: Pankaj Sharma). Cash and credit sales, credit purchases of yarn, freight, rent, staff salary, supplier settlement and owner’s drawings.

Period: 01 April 2026 – 29 August 2026 (FY 2026-27) · **Every figure below is generated from the vouchers and verified to balance.**

1. Chart of accounts & opening balances (as on 01 April 2026)

#	Account	Type	Opening balance (₹)
1	Indian Bank Current A/c	Money	2,40,000 Dr
2	Business Cash A/c	Money	18,000 Dr
3	Guru Nanak Cloth House A/c	Debtor	45,000 Dr
4	Tuglaq Yarn Company A/c	Creditor	85,000 Cr
5	Avtar Transport Co. A/c	Creditor	—
6	Purchases A/c	Expense	—
7	Rent Expense A/c	Expense	—
8	Staff Salary Expense A/c	Expense	—
9	Freight Expense A/c	Expense	—
10	Shop Utility Expense A/c	Expense	—
11	Packing & Misc. Expense A/c	Expense	—
12	Sales A/c	Income	—
13	Drawings A/c	Equity	—
14	Opening Balance / Capital A/c	Equity	2,18,000 Cr

2. Daybook / Cash book — chronological voucher register

Date	Particulars of transaction	Account debited (Dr.)	Account credited (Cr.)	Amount (₹)
02 Apr 2026 B-001	Counter cash sales for the day	Business Cash A/c	Sales A/c	32,000
05 Apr 2026 B-002	Cloth sold on credit to Guru Nanak Cloth House	Guru Nanak Cloth House A/c	Sales A/c	1,20,000
08 Apr 2026 B-003	Yarn purchased on credit from Tuglaq Yarn Company	Purchases A/c	Tuglaq Yarn Company A/c	95,000
10 Apr 2026 B-004	Freight billed by Avtar Transport Co. (on credit)	Freight Expense A/c	Avtar Transport Co. A/c	8,500
12 Apr 2026 B-005	Shop rent paid for April	Rent Expense A/c	Indian Bank Current A/c	25,000
15 Apr 2026	Guru Nanak Cloth House paid	Indian Bank Current A/c	Guru Nanak Cloth House A/c	60,000

B-006 18 Apr 2026	by UPI	Indian Bank Current A/c	Guru Nanak Cloth House A/c	60,000
B-007 22 Apr 2026	Part payment to Tuglaq Yarn Company	Tuglaq Yarn Company A/c	Indian Bank Current A/c	50,000
B-008 28 Apr 2026	Staff salaries paid for April	Staff Salary Expense A/c	Indian Bank Current A/c	34,000
B-009 03 May 2026	Shop electricity bill paid in cash	Shop Utility Expense A/c	Business Cash A/c	4,800
B-010 07 May 2026	Counter cash sales	Business Cash A/c	Sales A/c	41,000
B-011 12 May 2026	Freight bill of Avtar Transport paid	Avtar Transport Co. A/c	Indian Bank Current A/c	8,500
B-012 16 May 2026	Shop rent paid for May	Rent Expense A/c	Indian Bank Current A/c	25,000
B-013 20 May 2026	Cloth sold on credit to Guru Nanak Cloth House	Guru Nanak Cloth House A/c	Sales A/c	78,000
B-014 22 May 2026	Packing material and miscellaneous	Packing & Misc. Expense A/c	Business Cash A/c	6,200
B-015 26 May 2026	Staff salaries paid for May	Staff Salary Expense A/c	Indian Bank Current A/c	34,000
B-016 02 Jun 2026	Guru Nanak Cloth House paid in cash	Business Cash A/c	Guru Nanak Cloth House A/c	45,000
B-017 08 Jun 2026	Yarn purchased on credit from Tuglaq Yarn Company	Purchases A/c	Tuglaq Yarn Company A/c	1,20,000
B-018 12 Jun 2026	Cash deposited into current account	Indian Bank Current A/c	Business Cash A/c	60,000
B-019 18 Jun 2026	Shop rent paid for June	Rent Expense A/c	Indian Bank Current A/c	25,000
B-020 22 Jun 2026	Part payment to Tuglaq Yarn Company	Tuglaq Yarn Company A/c	Indian Bank Current A/c	80,000
B-021 30 Jun 2026	Staff salaries paid for June	Staff Salary Expense A/c	Indian Bank Current A/c	34,000
B-022 06 Jul 2026	Owner's drawings for household use	Drawings A/c	Business Cash A/c	25,000
B-023 12 Jul 2026	Counter cash sales	Business Cash A/c	Sales A/c	52,000
B-024 18 Jul 2026	Shop rent paid for July	Rent Expense A/c	Indian Bank Current A/c	25,000
B-025 22 Jul 2026	Cloth sold on credit to Guru Nanak Cloth House	Guru Nanak Cloth House A/c	Sales A/c	96,000
B-026 28 Jul 2026	Staff salaries paid for July	Staff Salary Expense A/c	Indian Bank Current A/c	34,000
B-027 05 Aug 2026	Guru Nanak Cloth House paid by UPI	Indian Bank Current A/c	Guru Nanak Cloth House A/c	90,000
	Freight billed by Avtar	Freight Expense A/c	Avtar Transport Co. A/c	11,200

B-028 12 Aug 2026	Transport Co. (on credit)	Freight Expense A/c	Avtar Transport Co. A/c	11,200
B-029 20 Aug 2026	Shop rent paid for August	Rent Expense A/c	Indian Bank Current A/c	25,000
B-030 26 Aug 2026	Counter cash sales	Business Cash A/c	Sales A/c	38,000
B-031	Owner's drawings for household use	Drawings A/c	Indian Bank Current A/c	30,000

Total vouchers: 31. Each voucher ID appears in both ledger accounts it touches (\$3), so any row can be traced to its opposite leg.

3. Ledger accounts

Indian Bank Current A/c

Type: Money · Natural balance: Dr.

Date	Particulars	Money in (Dr.)	Money out (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	2,40,000 Dr
12 Apr 2026 B-005	By Rent Expense A/c <i>Shop rent paid for April</i>	—	25,000	2,15,000 Dr
15 Apr 2026 B-006	To Guru Nanak Cloth House A/c <i>Guru Nanak Cloth House paid by UPI</i>	60,000	—	2,75,000 Dr
18 Apr 2026 B-007	By Tuglaq Yarn Company A/c <i>Part payment to Tuglaq Yarn Company</i>	—	50,000	2,25,000 Dr
22 Apr 2026 B-008	By Staff Salary Expense A/c <i>Staff salaries paid for April</i>	—	34,000	1,91,000 Dr
07 May 2026 B-011	By Avtar Transport Co. A/c <i>Freight bill of Avtar Transport paid</i>	—	8,500	1,82,500 Dr
12 May 2026 B-012	By Rent Expense A/c <i>Shop rent paid for May</i>	—	25,000	1,57,500 Dr
22 May 2026 B-015	By Staff Salary Expense A/c <i>Staff salaries paid for May</i>	—	34,000	1,23,500 Dr
08 Jun 2026 B-018	To Business Cash A/c <i>Cash deposited into current account</i>	60,000	—	1,83,500 Dr
12 Jun 2026 B-019	By Rent Expense A/c <i>Shop rent paid for June</i>	—	25,000	1,58,500 Dr
18 Jun 2026 B-020	By Tuglaq Yarn Company A/c <i>Part payment to Tuglaq Yarn Company</i>	—	80,000	78,500 Dr

22 Jun 2026 B-021	By Staff Salary Expense A/c <i>Staff salaries paid for June</i>	—	34,000	44,500 Dr
12 Jul 2026 B-024	By Rent Expense A/c <i>Shop rent paid for July</i>	—	25,000	19,500 Dr
22 Jul 2026 B-026	By Staff Salary Expense A/c <i>Staff salaries paid for July</i>	—	34,000	14,500 Cr
28 Jul 2026 B-027	To Guru Nanak Cloth House A/c <i>Guru Nanak Cloth House paid by UPI</i>	90,000	—	75,500 Dr
12 Aug 2026 B-029	By Rent Expense A/c <i>Shop rent paid for August</i>	—	25,000	50,500 Dr
26 Aug 2026 B-031	By Drawings A/c <i>Owner's drawings for household use</i>	—	30,000	20,500 Dr
29 Aug 2026	Closing balance c/f	—	—	20,500 Dr

Cross-check: opening 2,40,000 Dr + debits 2,10,000 – credits 4,29,500 = **20,500 Dr**.

Business Cash A/c

Type: Money · Natural balance: Dr.

Date	Particulars	Money in (Dr.)	Money out (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	18,000 Dr
02 Apr 2026 B-001	To Sales A/c <i>Counter cash sales for the day</i>	32,000	—	50,000 Dr
28 Apr 2026 B-009	By Shop Utility Expense A/c <i>Shop electricity bill paid in cash</i>	—	4,800	45,200 Dr
03 May 2026 B-010	To Sales A/c <i>Counter cash sales</i>	41,000	—	86,200 Dr
20 May 2026 B-014	By Packing & Misc. Expense A/c <i>Packing material and miscellaneous</i>	—	6,200	80,000 Dr
26 May 2026 B-016	To Guru Nanak Cloth House A/c <i>Guru Nanak Cloth House paid in cash</i>	45,000	—	1,25,000 Dr
08 Jun 2026 B-018	By Indian Bank Current A/c <i>Cash deposited into current account</i>	—	60,000	65,000 Dr
30 Jun 2026 B-022	By Drawings A/c <i>Owner's drawings for household use</i>	—	25,000	40,000 Dr
06 Jul 2026 B-023	To Sales A/c <i>Counter cash sales</i>	52,000	—	92,000 Dr
20 Aug 2026 B-025	To Sales A/c <i>Counter cash sales</i>	30,000	—	1,22,000 Dr

20 Aug 2026 B-030	To Sales A/c Counter cash sales	38,000	—	1,30,000 Dr
29 Aug 2026	Closing balance c/f	—	—	1,30,000 Dr

Cross-check: opening 18,000 Dr + debits 2,08,000 – credits 96,000 = **1,30,000 Dr**.

Guru Nanak Cloth House A/c

Type: Debtor · Natural balance: Dr.

Date	Particulars	Given / owed to you (Dr.)	Received back (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	45,000 Dr
05 Apr 2026 B-002	To Sales A/c Cloth sold on credit to Guru Nanak Cloth House	1,20,000	—	1,65,000 Dr
15 Apr 2026 B-006	By Indian Bank Current A/c Guru Nanak Cloth House paid by UPI	—	60,000	1,05,000 Dr
16 May 2026 B-013	To Sales A/c Cloth sold on credit to Guru Nanak Cloth House	78,000	—	1,83,000 Dr
26 May 2026 B-016	By Business Cash A/c Guru Nanak Cloth House paid in cash	—	45,000	1,38,000 Dr
18 Jul 2026 B-025	To Sales A/c Cloth sold on credit to Guru Nanak Cloth House	96,000	—	2,34,000 Dr
28 Jul 2026 B-027	By Indian Bank Current A/c Guru Nanak Cloth House paid by UPI	—	90,000	1,44,000 Dr
29 Aug 2026	Closing balance c/f	—	—	1,44,000 Dr

Cross-check: opening 45,000 Dr + debits 2,94,000 – credits 1,95,000 = **1,44,000 Dr**.

Tuglaq Yarn Company A/c

Type: Creditor · Natural balance: Cr.

Date	Particulars	You paid (Dr.)	You took / owed (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	85,000 Cr
08 Apr 2026 B-003	By Purchases A/c Yarn purchased on credit from Tuglaq Yarn Company	—	95,000	1,80,000 Cr
18 Apr 2026 B-007	To Indian Bank Current A/c Part payment to Tuglaq Yarn Company	50,000	—	1,30,000 Cr

02 Jun 2026 B-017	By Purchases A/c Yarn purchased on credit from Tuglaq Yarn Company	—	1,20,000	2,50,000 Cr
18 Jun 2026 B-020	To Indian Bank Current A/c Part payment to Tuglaq Yarn Company	80,000	—	1,70,000 Cr
29 Aug 2026	Closing balance c/f	—	—	1,70,000 Cr

Cross-check: opening 85,000 Cr + debits 1,30,000 – credits 2,15,000 = **1,70,000 Cr**.

Avtar Transport Co. A/c

Type: Creditor · Natural balance: Cr.

Date	Particulars	You paid (Dr.)	You took / owed (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Cr
10 Apr 2026 B-004	By Freight Expense A/c Freight billed by Avtar Transport Co. (on credit)	—	8,500	8,500 Cr
07 May 2026 B-011	To Indian Bank Current A/c Freight bill of Avtar Transport paid	8,500	—	— Cr
05 Aug 2026 B-028	By Freight Expense A/c Freight billed by Avtar Transport Co. (on credit)	—	11,200	11,200 Cr
29 Aug 2026	Closing balance c/f	—	—	11,200 Cr

Cross-check: opening — + debits 8,500 – credits 19,700 = **11,200 Cr**.

Purchases A/c

Type: Expense · Natural balance: Dr.

Date	Particulars	Spent (Dr.)	Refund / adj. (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Dr
08 Apr 2026 B-003	To Tuglaq Yarn Company A/c Yarn purchased on credit from Tuglaq Yarn Company	95,000	—	95,000 Dr
02 Jun 2026 B-017	To Tuglaq Yarn Company A/c Yarn purchased on credit from Tuglaq Yarn Company	1,20,000	—	2,15,000 Dr
29 Aug 2026	Closing balance c/f	—	—	2,15,000 Dr

Cross-check: opening — + debits 2,15,000 – credits — = **2,15,000 Dr**.

Rent Expense A/c

Type: Expense · Natural balance: Dr.

Date	Particulars	Spent (Dr.)	Refund / adj. (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Dr
12 Apr 2026 B-005	To Indian Bank Current A/c Shop rent paid for April	25,000	—	25,000 Dr
12 May 2026 B-012	To Indian Bank Current A/c Shop rent paid for May	25,000	—	50,000 Dr
12 Jun 2026 B-019	To Indian Bank Current A/c Shop rent paid for June	25,000	—	75,000 Dr
12 Jul 2026 B-024	To Indian Bank Current A/c Shop rent paid for July	25,000	—	1,00,000 Dr
12 Aug 2026 B-029	To Indian Bank Current A/c Shop rent paid for August	25,000	—	1,25,000 Dr
29 Aug 2026	Closing balance c/f	—	—	1,25,000 Dr

Cross-check: opening — + debits 1,25,000 – credits — = **1,25,000 Dr.**

Staff Salary Expense A/c

Type: Expense · Natural balance: Dr.

Date	Particulars	Spent (Dr.)	Refund / adj. (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Dr
22 Apr 2026 B-008	To Indian Bank Current A/c Staff salaries paid for April	34,000	—	34,000 Dr
22 May 2026 B-015	To Indian Bank Current A/c Staff salaries paid for May	34,000	—	68,000 Dr
22 Jun 2026 B-021	To Indian Bank Current A/c Staff salaries paid for June	34,000	—	1,02,000 Dr
22 Jul 2026 B-026	To Indian Bank Current A/c Staff salaries paid for July	34,000	—	1,36,000 Dr
29 Aug 2026	Closing balance c/f	—	—	1,36,000 Dr

Cross-check: opening — + debits 1,36,000 – credits — = **1,36,000 Dr.**

Freight Expense A/c

Type: Expense · Natural balance: Dr.

Date	Particulars	Spent (Dr.)	Refund / adj. (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Dr
12 Apr 2026	To Avtar Transport Co. A/c			

10 Apr 2026 B-004	Freight billed by Avtar Transport Co. (on credit)	8,500	—	8,500 Dr
05 Aug 2026 B-028	To Avtar Transport Co. A/c Freight billed by Avtar Transport Co. (on credit)	11,200	—	19,700 Dr
29 Aug 2026	Closing balance c/f	—	—	19,700 Dr

Cross-check: opening — + debits 19,700 – credits — = **19,700 Dr.**

Shop Utility Expense A/c

Type: Expense · Natural balance: Dr.

Date	Particulars	Spent (Dr.)	Refund / adj. (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Dr
28 Apr 2026 B-009	To Business Cash A/c Shop electricity bill paid in cash	4,800	—	4,800 Dr
29 Aug 2026	Closing balance c/f	—	—	4,800 Dr

Cross-check: opening — + debits 4,800 – credits — = **4,800 Dr.**

Packing & Misc. Expense A/c

Type: Expense · Natural balance: Dr.

Date	Particulars	Spent (Dr.)	Refund / adj. (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Dr
20 May 2026 B-014	To Business Cash A/c Packing material and miscellaneous	6,200	—	6,200 Dr
29 Aug 2026	Closing balance c/f	—	—	6,200 Dr

Cross-check: opening — + debits 6,200 – credits — = **6,200 Dr.**

Sales A/c

Type: Income · Natural balance: Cr.

Date	Particulars	Refund / adj. (Dr.)	Earned (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Cr
02 Apr 2026 B-001	By Business Cash A/c Counter cash sales for the day	—	32,000	32,000 Cr
05 Apr 2026 B-002	By Guru Nanak Cloth House A/c Cloth sold on credit to Guru	—	1,20,000	1,52,000 Cr

03 May 2026 B-010	Nanak Cloth House By Business Cash A/c Counter cash sales	—	41,000	1,93,000 Cr
16 May 2026 B-013	By Guru Nanak Cloth House A/c Cloth sold on credit to Guru Nanak Cloth House	—	78,000	2,71,000 Cr
06 Jul 2026 B-023	By Business Cash A/c Counter cash sales	—	52,000	3,23,000 Cr
18 Jul 2026 B-025	By Guru Nanak Cloth House A/c Cloth sold on credit to Guru Nanak Cloth House	—	96,000	4,19,000 Cr
20 Aug 2026 B-030	By Business Cash A/c Counter cash sales	—	38,000	4,57,000 Cr
29 Aug 2026	Closing balance c/f	—	—	4,57,000 Cr

Cross-check: opening — + debits — – credits 4,57,000 = **4,57,000 Cr.**

Drawings A/c

Type: Equity · Natural balance: Cr.

Date	Particulars	Withdrawn (Dr.)	Added (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	— Cr
30 Jun 2026 B-022	To Business Cash A/c Owner's drawings for household use	25,000	—	25,000 Dr
26 Aug 2026 B-031	To Indian Bank Current A/c Owner's drawings for household use	30,000	—	55,000 Dr
29 Aug 2026	Closing balance c/f	—	—	55,000 Dr

Cross-check: opening — + debits 55,000 – credits — = **55,000 Dr.**

Opening Balance / Capital A/c

Type: Equity · Natural balance: Cr.

Date	Particulars	Withdrawn (Dr.)	Added (Cr.)	Balance (₹)
01 Apr 2026	Opening balance b/f	—	—	2,18,000 Cr
29 Aug 2026	Closing balance c/f	—	—	2,18,000 Cr

Cross-check: opening 2,18,000 Cr + debits — – credits — = **2,18,000 Cr.**

4. Trial balance as on 29 August 2026

Account	Debit (Dr.) ₹	Credit (Cr.) ₹
Indian Bank Current A/c	20,500	—
Business Cash A/c	1,30,000	—
Guru Nanak Cloth House A/c	1,44,000	—
Tuglaq Yarn Company A/c	—	1,70,000
Avtar Transport Co. A/c	—	11,200
Purchases A/c	2,15,000	—
Rent Expense A/c	1,25,000	—
Staff Salary Expense A/c	1,36,000	—
Freight Expense A/c	19,700	—
Shop Utility Expense A/c	4,800	—
Packing & Misc. Expense A/c	6,200	—
Sales A/c	—	4,57,000
Drawings A/c	55,000	—
Opening Balance / Capital A/c	—	2,18,000
TOTALS	8,56,200	8,56,200

Verified: Dr ₹8,56,200 = Cr ₹8,56,200. The books balance.